LEGAL MEMORANDUM

To: Avalon Bancorp Inc.
From: Counsel
Date: November 11, 2026
Re: Marcus Davenholt's governance rights and the Velridge contract

Executive assessment

Delaware now permits many stockholder governance agreements, but authorization does not eliminate fiduciary duties. Marcus's veto has substantial statutory support, subject to Avalon's expressly exclusive charter language and proper appointment procedures. The board's mechanical deference creates meaningful care and loyalty risk; compliance with an enforceable obligation, independently evaluated, is not itself disloyal. Marcus faces substantial exposure if he qualifies as a controller exercising managerial power. His strongest defense is that he merely withheld consent to preserve the status quo, a distinction addressed in *Sears* and discussed below.

Scope and assumptions

This memorandum assesses the January and September 2024 events under Delaware corporate law as of November 11, 2026, including retroactive amendments. It assumes the investment and agreement received board approval, Marcus's appointment right reaches the entire board, and no prior proceeding or inspection request triggers statutory grandfathering. Marcus's veto was solely personal; the directors' knowledge of that motive is not established. No actual service by Marcus as a director or officer is assumed. The demand requirement and banking regulation are outside scope.

I. Board authority and contractual enforceability

A. Baseline and the pre-amendment framework

DGCL § 141(a) assigns management to the board, subject to exceptions in the DGCL or certificate of incorporation. Avalon's charter and bylaws additionally require exclusive board management. Section 109(b) permits bylaws only if consistent with law and the charter; a contract is not itself a bylaw or charter amendment. Because Avalon has received payment for stock and no charter grant of bylaw-amendment power is assumed, § 109(a) leaves that power with voting stockholders. A bylaw amendment alone cannot override a contrary charter. 8 Del. C. § 141(a); id. § 109(a)–(b).

In *West Palm Beach Firefighters' Pension Fund v. Moelis & Co.*, 311 A.3d 809, 816–18, 859–68 (Del. Ch. 2024), the court tested internal-governance contracts for substantial displacement of directors' independent judgment. It invalidated sweeping pre-approval requirements in the aggregate and certain board-composition restraints, while allowing some designation and nomination provisions. Under that framework, Marcus's veto over every transaction and unrestricted officer-selection power present stronger objections than an ordinary nomination right: they make him the gatekeeper of management. *Moelis*, 311 A.3d at 868–79.

Moelis is no longer an unqualified invalidity precedent. On January 20, 2026, the Delaware Supreme Court reversed on laches and vacated the merits order without deciding substantive enforceability. It held that the challenged restrictions, if inconsistent with § 141(a), were voidable rather than automatically void. Its holding limits reliance on the trial opinion and makes equitable defenses relevant; it does not decide whether Avalon's agreement complies with the later statute. *Moelis & Co. v. W. Palm Beach Firefighters' Pension Fund*, 2026 WL 184868, at *1, *6–16 (Del. Jan. 20, 2026).

B. Senate Bill 313 changes the September 2024 analysis

Signed July 17, 2024, S.B. 313 added § 122(18), effective August 1, 2024. Section 6 applies the amendments to earlier contracts, except civil proceedings completed or pending by that date. Thus the January execution date does not exclude Avalon's agreement from the new law when assessing the September veto. 84 Del. Laws ch. 309, §§ 1, 6 (2024).

Notwithstanding § 141(a), § 122(18) authorizes contracts with current or prospective stockholders in that capacity, for board-determined minimum consideration, including restrictions on corporate action, consent requirements, and affirmative covenants. Marcus's investment supplies evident consideration, although board approval of its sufficiency should be documented. His transaction veto falls squarely within the authorized category. Contracts remain unenforceable to the extent contrary to the charter or impermissible under Delaware law if placed in the charter, with a statutory exception for § 115. 8 Del. C. § 122(18).

The charter issue is genuinely contestable. Avalon can argue that "exclusively managed" affirmatively prohibits sharing management, unlike § 141(a)'s flexible default. Marcus can respond that this is merely a general empowerment of the board, which § 122(18) expressly says does not defeat a contractual restriction. The S.B. 313 synopsis distinguishes ordinary board-authority recitals from charter provisions denying power to enter governance contracts; *Seavitt* likewise cautions that general recitals are insufficient. Avalon's clause does not expressly prohibit stockholder contracts. The parallel bylaw does not itself trigger § 122(18)'s charter-conflict exception. Accordingly, invalidity is arguable, not assured, and the board should not assume either result. S.B. 313, synopsis to § 1; *Seavitt v. N-Able, Inc.*, C.A. No. 2023-0326-JTL, slip op. at 26–27 & n.55, 39 & n.92 (Del. Ch. July 25, 2024).

Appointment rights require separate treatment. A covenant to facilitate Marcus's nominees can be authorized, but does not dispense with required elections, vacancy-filling, or officer-selection procedures. Directors ordinarily are elected under § 211(b); § 223 governs vacancies. Officers are selected as prescribed by the bylaws or determined by the board under § 142(b), with vacancy rules in § 142(e). A board-approved mechanism for officer selection could satisfy § 142(b). Literal director appointments bypassing statutory procedures are vulnerable; properly implemented selection covenants are stronger. Section 122(5) also preserves § 141(a)'s limits on delegating managerial authority to officers or agents. 8 Del. C. §§ 211(b), 223; id. § 142(b), (e); id. § 122(5).

II. Fiduciary implications for Avalon's directors

A. Independent judgment remains necessary

Directors owe care and loyalty to Avalon and its stockholders, not to the investor who selected them. *McMullin* rejected the proposition that a majority stockholder's decisive power excused a board from informed, independent evaluation. Although it concerned a merger, its anti-abdication principle is pertinent here; its merger-specific value-maximization obligations should not be imported wholesale into an ordinary commercial contract. The directors need not undertake futile steps, but cannot simply surrender their responsibilities. *McMullin v. Beran*, 765 A.2d 910, 916–20, 923–25 (Del. 2000).

The initial presumption is business-judgment deference to an informed, disinterested, good-faith decision. A tenfold revenue increase does not establish a duty to accept: margins, execution costs, risk, and contractual liabilities matter. But failing to investigate the offer, the veto's enforceability, or available alternatives can support a gross-negligence care claim. Knowing sacrifice of Avalon's interests to appease Marcus can support disloyalty or bad faith, even without directors receiving money. Gross negligence alone is not bad faith. *In re Walt Disney Co. Derivative Litig.*, 906 A.2d 27, 52–53, 64–67 (Del. 2006).

Marcus's stipulated motive is not automatically attributable to every director. Evidence that directors knew of the vendetta yet rejected a beneficial deal solely to retain his favor would materially strengthen a loyalty claim. If they instead reasonably believed the veto binding and independently concluded that

defiance would impose greater corporate costs, their defense is stronger. Appointment alone does not establish dependence; actual relationships, threats, compensation dependence, and each director's deliberations matter. If the board served a controller's conflicting interest, entire-fairness review may apply, subject to the statutory analysis in Part III. *Voigt v. Metcalf*, 2020 WL 614999, at *12–17 (Del. Ch. Feb. 10, 2020); 8 Del. C. § 144(d)(3).

B. Contract compliance is neither immunity nor an automatic breach

S.B. 313's synopsis expressly preserves fiduciary duties when entering, performing, or breaching governance contracts. It also preserves equitable review. The agreement supplies no express fiduciary out. Conversely, corporate agreements do not contain an automatic fiduciary escape clause merely because performance later becomes unattractive; § 122(18) contemplates contractual remedies against the corporation. Constraints on future choices are not necessarily abdication. S.B. 313, synopsis to § 1, items 2, 4; 8 Del. C. § 122(18); *Grimes v. Donald*, 673 A.2d 1207, 1214–15 (Del. 1996).

Avalon's board therefore should have evaluated whether to seek a waiver, negotiate a release, challenge enforceability or inequitable enforcement, or pursue a value-enhancing course while accounting for breach remedies. It need not breach a valid contract simply to increase gross revenues. The stated purpose of strict compliance and appeasement, without that evaluation, creates litigation risk regardless of the agreement's ultimate validity. The original grant of sweeping rights also could be challenged, but no facts establish that accepting the January investment was uninformed or disloyal. Statutory authorization does not retroactively cleanse any fiduciary defect in that decision. S.B. 313, synopsis to § 1, item 4.

No § 102(b)(7) exculpatory charter provision may be assumed under the stipulated charter facts. Care-based damages therefore cannot be dismissed merely by assuming customary director exculpation. Even an applicable provision could not excuse loyalty breaches or bad faith. Liability remains individualized, and relief still requires the appropriate showing of injury and causation. 8 Del. C. § 102(b)(7); *Malpiede v. Townson*, 780 A.2d 1075, 1094–96 (Del. 2001).

III. Fiduciary implications for Marcus

A. Minority ownership does not resolve controller status

Under the common law applicable in 2024, a minority stockholder owes controller duties if he actually controls the corporation generally or the challenged decision. In *Kahn*, a 43.3% holder controlled the company through actual domination, despite lacking majority ownership. Mere investment size or a contractual veto is not conclusive. *Kahn v. Lynch Communication Systems, Inc.*, 638 A.2d 1110, 1113–15 (Del. 1994).

Voigt assessed board relationships, ownership, and extensive veto rights cumulatively; it explained that vetoes over actions ordinarily within the board's unilateral authority can confer more power than majority voting stock alone. *Basho* found control from a combination of financing blockages, pressure, and management domination, not protective rights alone. Marcus's ability to select all directors and officers, veto every transaction, and obtain actual board submission strongly supports general or transaction-specific control. Unlike *Basho*, however, the facts do not establish financial dependence, threats, or a coercive financing campaign. *Voigt*, 2020 WL 614999, at *11–20; *Basho Techs. Holdco B, LLC v. Georgetown Basho Investors, LLC*, 2018 WL 3326693, at *25–35 (Del. Ch. July 6, 2018).

Current litigation also requires amended § 144. S.B. 21, enacted March 25, 2025, generally applies to earlier acts, subject to grandfathering for proceedings or inspection requests by February 17, 2025. *Rutledge* upheld the challenged safe harbors and their retroactivity. 85 Del. Laws ch. 6, § 3 (2025); *Rutledge v. Clearway Energy Group LLC*, No. 248, 2025, slip op. at 2–3, 31–37 (Del. Feb. 27, 2026).

Section 144(d)(4), (e)(2) now requires majority voting control, a right to cause election of a board majority, or at least one-third voting power plus functionally equivalent managerial control. If

enforceable, Marcus's all-director selection right likely satisfies the second route regardless of his percentage. If that right fails, his unspecified minority stake and practical influence may not satisfy the statutory alternatives; a sub-one-third holder without the election right cannot qualify solely under the older holistic test. Contractual validity and the exact voting percentage thus matter critically. 8 Del. C. § 144(d)(4), (e)(2).

B. Managerial interference versus stockholder-level refusal

Sears distinguishes controllers who direct corporate management, owing director-like duties, from controllers exercising their own stockholder rights. A controller generally may decline to vote for, or vote against, a change to the status quo. Affirmatively changing it entails limited loyalty and care duties. *Sears* applied enhanced scrutiny to bylaw changes and director removals, requiring a legitimate, good-faith objective and reasonable means; it upheld that intervention as value-protective. *In re Sears Hometown & Outlet Stores, Inc. Stockholder Litig.*, 309 A.3d 474, 506–19 (Del. Ch. 2024).

Marcus can characterize withholding approval as preserving existing operations, but *Sears* does not immunize all negative conduct. This is a contractual veto over a management decision, not a statutory vote on a merger or asset sale; coupled with appointment power and board capitulation, it more closely resembles directing management. On that characterization, using corporate power solely for revenge presents a strong bad-faith loyalty claim. If a court instead treats the consent as a protected stockholder-level refusal, personal motivation alone may not defeat that protection. If it analogizes the veto to *Sears*'s affirmative intervention, revenge lacks the required legitimate corporate objective. The classification is consequential and not conclusively settled by *Sears*. Id. at 506–19; *Disney*, 906 A.2d at 64–67.

Controller status alone does not mandate entire fairness. Under common law, self-dealing or a material, non-ratable benefit supports that review; Marcus's personal satisfaction is a plausible nonfinancial benefit, but materiality and the suitability of fairness review for a blocked contract remain contestable. *Kahn*'s controller cash-out merger is distinguishable. If § 144 applies and the rejection is an act yielding a unique benefit, § 144(b) permits protection through qualifying disinterested approval or substantive fairness. No informed, uncoerced disinterested-stockholder vote or qualifying, empowered disinterested committee is stated; appeasement is not cleansing. Section 144(d)(5)'s protection from care damages does not cover loyalty, bad faith, or improper personal benefit. *Kahn*, 638 A.2d at 1115–17; 8 Del. C. § 144(b), (d)(5), (e)(3), enacted by 85 Del. Laws ch. 6, § 1.

If Marcus is not a controller or other fiduciary (including through actual service as a director or officer), a standalone fiduciary claim ordinarily fails; personal spite does not itself create fiduciary status. He could nevertheless face aiding-and-abetting liability if he knowingly participated in the board's breach and caused loss. Mere insistence on a valid contractual right is insufficient without the required knowing participation. *Malpiede*, 780 A.2d at 1096–98; 8 Del. C. § 144(d)(6)c.

Conclusion and practical implications

Avalon should preserve the offer, financial analyses, approval records, and communications identifying the reasons for rejection; obtain an independent reassessment of the governance rights; and consider whether the opportunity can still be pursued. Lost corporate profits ordinarily support a derivative claim, distinct from a facial governance challenge. Damages are not ten times existing revenues: recoverable loss depends on causation, profitability, and whether the contract would have been consummated. The principal risks are uninformed board surrender and, if Marcus is a controller exercising managerial power, intentional subordination of Avalon's interests to his personal vendetta. *Tooley v. Donaldson, Lufkin & Jenrette, Inc.*, 845 A.2d 1031, 1033, 1039 (Del. 2004); *Basho*, 2018 WL 3326693, at *23–24.